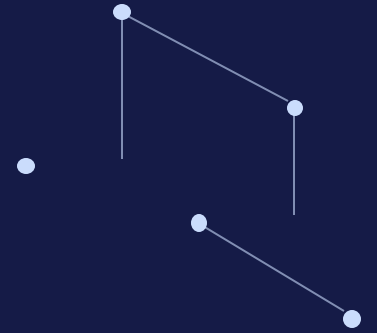


CUSTOMER CHURN ANALYSIS

Where We're Losing Customers, and Why

A data-driven retention strategy for Horizon



Preparing the Data for Analysis

Before any analysis, the raw customer records were cleaned and standardised across three areas, and three new fields were added to support the findings.

Data Quality Fixes

- Removed empty columns (**InternetService2**, **Licence**)
- Split merged fields (**Customer_ID/Sex**, **OnlineSecurity/Backup**)
- Standardised **Partner**, **Dependants** & **SeniorCitizen** to Yes/No
- Fixed Internet Service typos and trimmed the **PaymentMethod** suffix

Numbers -> Categories

- Converted **Contract** and **PaymentMethod** from numeric codes to readable labels
- Mapped the values with XLOOKUP against dedicated reference sheets
- Makes both fields easier to group and filter during analysis

New Columns

- **Tenure_band** — groups customers by length of stay
- **Services_Count** — number of services held per customer
- **Danger_Score** — ranks how likely a customer is to churn (covered later)

Every change is documented in the Excel workbook, please message me on Slack for any clarification.

HEADLINE FINDING

Horizon Is Losing a Quarter of Its Customers

26%

Overall customer churn rate

£114,000

Lost every month to fiber
optic churn alone

£1.37M

Projected annual loss if
this trend continues

This report identifies exactly who is leaving, why, and what Horizon can do about it.

A Profile of Who Churns

Gender

26.92%

Female churn rate

26.16%

Male churn rate

Virtually identical: gender is not a meaningful driver of churn.

Senior Citizens

41.68%

churn rate among senior citizens — nearly double the 26.54% global average

Only 15% of customers, but a clear at-risk group worth flagging.

The First Year and Short Contracts

47%

of customers churn within their first 12 months

45%

of customers on month-to-month contracts churn

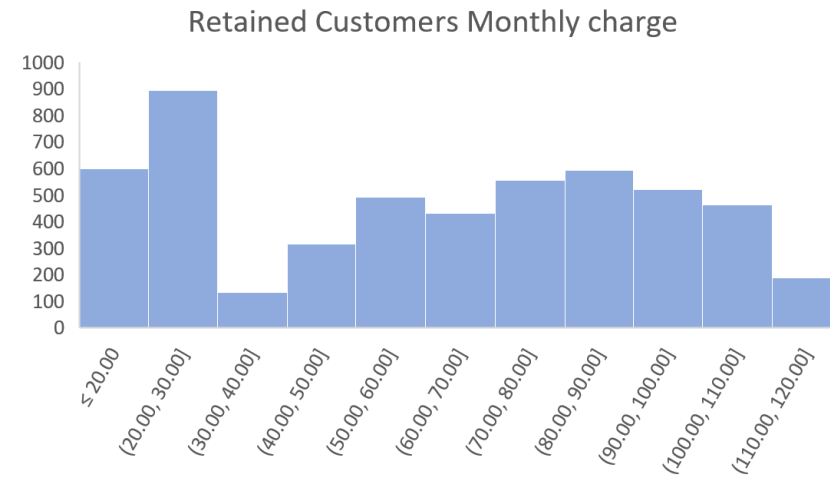
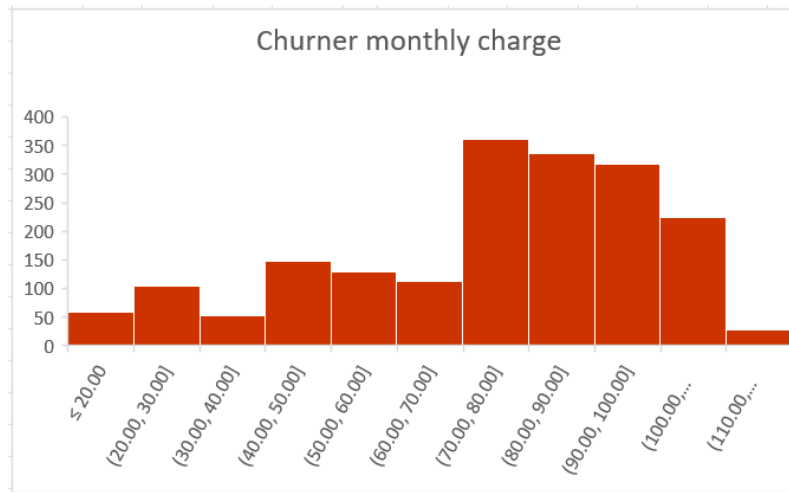
Only a **10%**

churn rate once a customer passes 4 years tenure

- Nearly half of new customers leave before month 12.
- Month-to-month is the worst contract for retention, churning at 45%.
- What does this mean? Prioritise moving customers onto longer term contracts. Figure out why we're losing new customers.

An Unusual Distribution

We plotted the full distribution of monthly charges for churned vs retained customers — and the two distributions look notably different.



- Churners cluster heavily from £70 upward.
- Retained customers are far more evenly spread, including plenty paying £70+ who are perfectly happy to stay.

If price alone drove churn, high-paying retained customers shouldn't exist in such numbers. Another factor is at play.

Testing Two Alternative Explanations

We tested two likely explanations for the price pattern before looking further.

Explanation 1: Contract Type

Theory: month-to-month customers rack up more add-ons, driving up both price and churn.

£66.40 vs £65.05 vs £60.77

Average charges across month-to-month, one year, and two year contracts — nearly identical.

Not supported

Explanation 2: Service Count

Theory: customers with fewer services feel underserved relative to what they pay, and leave.

3.13 vs 3.45

Average number of services for churned vs retained customers — only a marginal difference.

Not supported

KEY FINDING

Fiber Optic Customers Are Leaving

42%

Churn rate — fiber optic
customers (highest of any group)

£91

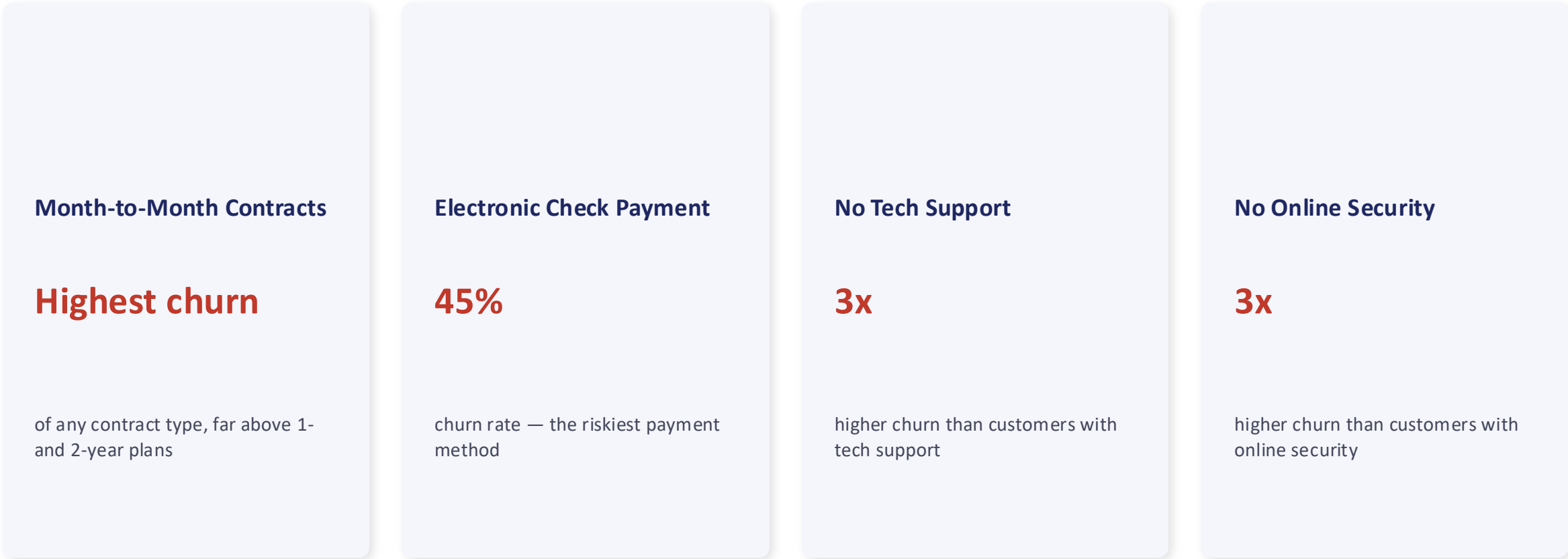
Average monthly charge
— fiber optic customers

vs 26.5%

Global average churn rate,
for comparison

Fiber optic customers churn at nearly 1.6x the global rate, and pay the most of any service group. This single segment explains the pricing pattern identified earlier.

Other Factors That Compound the Risk



Recommendations for Craig

Launch a fiber optic retention review

Review pricing, performance, and competitor offers for this segment specifically — it's driving the bulk of revenue loss.

Target the first 12 months

Build a structured onboarding and early-engagement programme to carry new customers through the highest-risk window.

Include tech support and online security in package

With the exception of fiber optic customers, our service is price inelastic. People are happy to pay more if they get a better service.

Action the at-risk list

Have the sales team begin outreach to the 291 flagged customers, prioritised by risk score.

Who's at Risk, Right Now

We scored every current customer against the risk factors above — fiber optic and month-to-month weighted highest, tenure under 12 months close behind, with smaller contributions from payment method, billing type, support services, and age. Customers scoring 9 or above out of 11 made the list.

291

Current customers flagged
as high risk (score 9+)

£23,837

Monthly recurring revenue
represented by this group

9 – 11

Risk score range used
to define the at-risk list

A full, sortable list of these 291 customers is available on the live dashboard — ready for the sales team to action.

Further Analysis Recommendations

Logistic Regression Analysis

would let us isolate the independent effect of price, controlling for fiber optic and other factors simultaneously, my analysis tested confounders one at a time due to restrictions in software.

Thank you.